

KEY GST RULINGS, INSIGHTS & PRACTICAL TAKEAWAYS



GST CASE LAW COMPENDIUM

AUG 25 EDITION

LET'S DECODE GST LITIGATION TOGETHER



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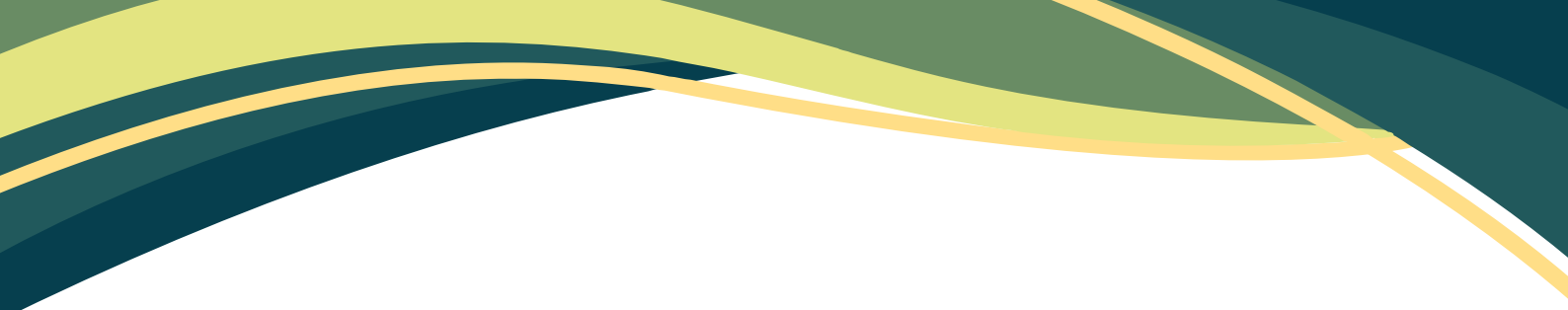
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Whether amount paid 'under protest' can be treated as admitted tax liability for levying interest and penalty under Section 74 of the GST Act?

No, the Hon'ble Himachal Pradesh High Court in *Shyama Power India Ltd. v. State of H.P. & Ors.* [CWP No. 6990 of 2025, decided on 19.06.2025; 2025 (6) TMI 1571 – HIMACHAL PRADESH HIGH COURT] held that payment made "under protest" cannot be treated as an admission of liability, and therefore, imposition of interest and penalty based on such payment is illegal. In this case, the petitioner, a registered entity engaged in construction of transmission lines, was subjected to audit under Section 65 for FY 2017–18 and 2018–19. The audit memo alleged wrongful ITC claim of ₹1.11 crores in respect of purchases from three suppliers. Despite furnishing reconciliations, bank statements, purchase orders, and affidavits from transporters, the department directed the petitioner to reverse the credit. Under continuous departmental pressure, the petitioner deposited the ITC amount via DRC-03 on 31.03.2023—explicitly under protest. However, the adjudicating authority passed an order under Section 74 on 02.12.2023 levying ₹1.32 crores as interest and ₹1.11 crores as penalty, treating the payment as an admitted liability. The High Court noted that payment "under protest" by its very nature signifies non-admission of liability and preserves the taxpayer's right to challenge. The Hon'ble Court held that the department erred by failing to investigate the alleged fake transactions or verify the supporting documents and had instead mechanically treated DRC-01 summary as sufficient proof of wrongdoing. It further noted that the portal did not allow filing appeal against the principal tax demand once it was treated as paid, thereby denying the petitioner the statutory remedy. The impugned order was quashed, and the department was directed to issue a fresh DRC-07 showing only the disputed ITC amount, thereby enabling the petitioner to file appeal.

Author's Comments:

"Under Protest" as defined in *Black's Law Dictionary, Tenth Edition, Page 1419*:

"Under protest" means:

(3) A formal statement, usually in writing, disputing a debt's legality or validity but agreeing to make payment while reserving the right to recover the amount at a later time. The disputed debt is described as 'under protest'.

(4) In tax law: A taxpayer's statement to the collecting officer that payment is being made unwillingly because the taxpayer believes the tax to be invalid.

This definition makes it abundantly clear that **such payments preserve the right to litigate**, and cannot be equated with voluntary compliance. In the present case, the department mechanically proceeded with penalty and interest solely on the strength of a DRC-03 payment made under protest, completely **ignoring the protest qualification** and bypassing the essential legal requirement of establishing liability through proper adjudication.

Additionally, two grave infirmities in the proceedings emerge:

1. Penalty and Interest Without Valid Tax Demand:

A notice issued solely demanding interest or penalty, without a corresponding tax demand, is inherently defective. Notably, in Central Excise (Section 11A of the Central Excise Act) and Service Tax (Section 73(1) of the Finance Act, 1994), the 'deposit-demand-appropriation' approach was upheld, and the same principle applies to GST. Any deviation, where only interest & penalty is demanded, would be unsustainable and legally flawed under the GST regime.

2. Summary of SCN (DRC-01) ≠ Proper Show Cause Notice:

Proceeding with the adjudication based solely on DRC-01 (Summary of SCN) without the actual SCN is legally unsustainable and renders the demand invalid.



Whether simultaneous audit and investigation proceedings can be initiated by different GST authorities for the same tax period?

No, The Hon'ble Calcutta High Court in *Truvolt Engineering Company Pvt.Ltd. & Anr. v. Additional Assistant Director, DGGI & Ors. [WPA 2606 of 2025, decided on 16.06.2025, 2025 (6) TMI 1500 – CALCUTTA HIGH COURT]* held that once audit proceedings have been concluded and a show cause notice under Section 65(7) of the CGST Act has been issued, the taxpayer should not be subjected to multiple inquiries by different authorities for the same period. In this case, the petitioner challenged a notice issued by the DGGI authorities dated 21/22.11.2024, followed by another on 30.05.2025, arguing that an earlier audit had already been concluded for April 2019 to March 2022 and a show cause notice was issued. Further, a search and seizure had also been initiated by the State Authorities under Section 67 for subsequent years, but not concluded. The petitioners contended that continuing proceedings by the DGGI for the same period amounted to parallel and overlapping jurisdiction. The DGGI argued that there was no statutory bar against simultaneous action under Sections 65, 66, and 67, and the investigation pertained to fraud by the petitioner. The Hon'ble Court, however, observed that while the CGST Act does not impose an absolute bar on simultaneous proceedings under different chapters, the spirit of Section 65(7) requires that after issuance of a show cause notice post-audit, the assessee should not be exposed to repeated proceedings for the same period unless prior proceedings are brought to their logical conclusion. Consequently, the Court restrained the DGGI from proceeding further with the investigation for the overlapping tax period and held that any inquiry by the DGGI should be confined only to the period not already covered by the State's action. The matter was adjourned for further consideration after completion of pleadings.

Author's Comments:

While the Hon'ble Calcutta High Court has rightly emphasized the need to avoid multiplicity of proceedings for the *same period*, it must be understood that the statutory scheme under the CGST Act does not create an absolute embargo on concurrent action by different wings—provided the cause of action is distinct.

In the author's considered view, Section 6(2)(b) of the CGST Act is designed to *harmonize jurisdictional overlap* between central and state authorities, and not to create a blanket bar on multiple proceedings per se. An audit under Section 65 primarily focuses on the regularity of accounts and compliance as reflected in books of accounts, while investigation under Section 67 is aimed at unearthing tax evasion, suppression, or fraud based on reasons to believe. The two operate in different planes.

Merely because an audit has concluded for a particular period and an SCN has been issued, it does not foreclose the department's right to initiate an investigation under Section 67 for the same period—if the facts, cause of action, or nature of default are different. What is barred, and rightly so, is re-examining the *same cause of action* or factual matrix under the garb of a new proceeding, leading to double jeopardy and harassment.

In fact, even overlapping periods are permissible where the subject matter differs. For example, if audit proceedings focused on ITC mismatches and procedural lapses, and later an investigation surfaces a separate undisclosed supply chain through intelligence inputs, both proceedings can validly co-exist. What is prohibited is duplicative action for the *same allegation* under multiple mechanisms.

Thus, the ruling should not be construed to mean that post-audit, the hands of enforcement agencies are tied.



Whether a demand order can exceed the amount proposed in the show cause notice under GST law?

No, The Hon'ble Allahabad High Court in *M/s Pavan Traders v. State of U.P. and Another* [Writ Tax No. 1258 of 2025, decided on 03.07.2025 | 2025 (7) TMI 331 – ALLAHABAD HIGH COURT] held that a demand order passed under Section 73 of the CGST/UPGST Act cannot exceed the amount proposed in the show cause notice, and any such order is unsustainable being in violation of Section 75(7) of the Act. In the present case, a show cause notice dated 30.01.2024 in Form GST DRC-01 was issued to the petitioner proposing recovery of ₹4,80,527 towards tax, interest, and penalty for the financial year 2018–19. Though the petitioner did not respond despite a reminder and hearing notice dated 16.04.2024, the final order dated 27.04.2024 raised a demand of ₹24,40,363.10—significantly higher than the proposed amount. The petitioner contended that this violated Section 75(7), which prohibits confirmation of tax, interest, and penalty in excess of what is specified in the notice. The department argued that penalty and interest are statutory and their inclusion in the order cannot invalidate it. However, the Court disagreed, emphasizing that Section 75(7) mandates that no demand shall exceed the amounts or grounds set out in the notice. Accordingly, the impugned order was quashed and the matter was remanded to the proper officer with directions to provide an opportunity to the petitioner to respond and then pass a fresh order in accordance with law.

Author's Comments:

Section 75(7) of the CGST Act unequivocally states that the adjudication order must be passed strictly on the same grounds as mentioned in the Show Cause Notice. Once an SCN is issued on specific grounds quantifying certain amount, those grounds & amount of *lis* become exhaustive, meaning that during adjudication, the authorities cannot expand, alter, or cure deficiencies in the notice by introducing new grounds to confirm demand exceeding the alleged amount. This principle has been firmly established by the Hon'ble Supreme Court in the following cases: (i) *CCE v Brindavan Beverages (P) Ltd.* (213) ELT 487 (SC), (ii) *Oryx Fisheries (P) Ltd. v Union of India* 2011 (266) ELT 422 (SC).

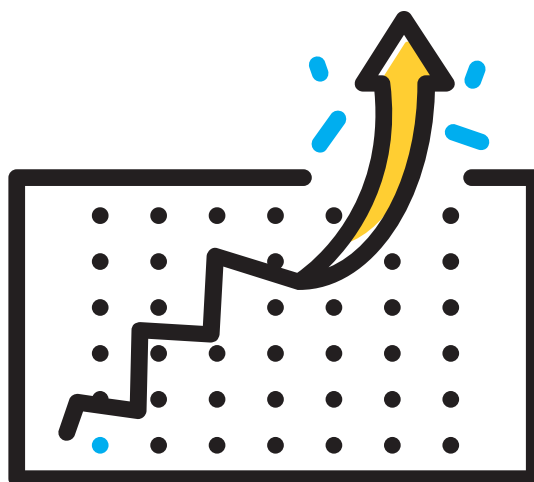
In authors considered opinion:

1. DRC-01 ≠ SCN:

The tendency to treat Form GST DRC-01 (a summary of SCN) as the SCN itself is legally flawed and jurisdictionally defective. Rule 142(1)(a) mandates issuance of a detailed SCN before DRC-01 is uploaded. As rightly held in *Udit Tibrewal v. State of Assam* [2024 (11) TMI 108], “summary in DRC-01 is not a substitute for a show cause notice.” If no proper SCN exists, the adjudication order becomes non est, irrespective of how detailed the DRC-01 may be.

2. Interest, as per Section 75(9), follows the tax liability automatically and need not be proposed separately in the SCN.

3. Penalty, however, is discretionary and must be proposed with reasoning and justification. If an SCN does not clearly propose penalty, invoking Section 122 in the final order is an unwarranted expansion of jurisdiction and liable to be struck down.



Whether non-issuance of notice under Section 142(1)(A) prior to assessment renders the demand order invalid?

Yes, in the case of *M/s Sri Shakthi Communications v. Assistant Commissioner of State Taxes, Andhra Pradesh & Ors.* [W.P. No. 8150 of 2025, decided on 02.07.2025 | 2025 (7) TMI 329 – Andhra Pradesh High Court], the Hon'ble Andhra Pradesh High Court set aside the demand order issued without a mandatory notice under Section 142(1)(A). The petitioner, engaged in the sale and marketing of cell phones, had its GST registration cancelled for non-filing of returns for six months. Parallely, proceedings under Section 73 were initiated through a show cause notice dated 01.07.2023, proposing reversal of ITC with interest and penalty. A demand order dated 28.12.2023 was passed, raising tax and penalty of over ₹4 crore for FY 2017–18. The petitioner challenged this order primarily on three grounds: (i) no prior notice under Section 142(1)(A) was issued; (ii) proceedings were time-barred under Sections 73(10) and 70(2); and (iii) violation of natural justice. Relying on earlier judgments of the same Court—including *New Morning Star Travels v. Deputy Commissioner*, 2023 (10) TMI 1246 - ANDHRA PRADESH HIGH COURT—which had consistently held that failure to issue a Section 142(1)(A) notice for pre-15.10.2020 assessment periods renders the proceedings void, the Court quashed the demand order. It directed that the matter be remanded to the assessing authority for a fresh decision after complying with the mandatory procedure under GST law, and clarified that the time spent in litigation shall be excluded for limitation purposes.

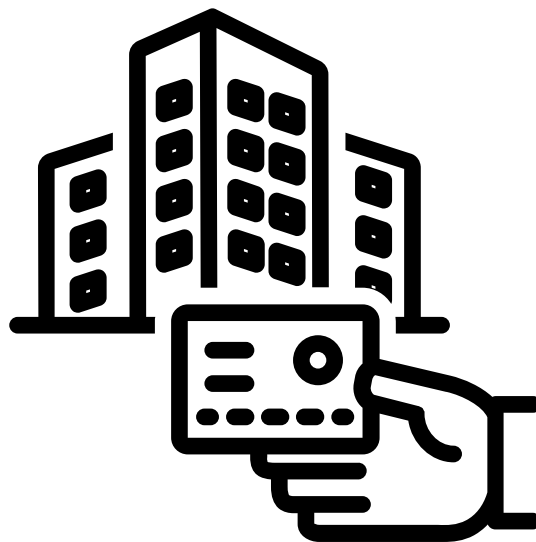
Author's Comments:

This highlights a persistent yet nuanced debate in GST adjudication—whether failure to issue DRC-01A (pre-SCN intimation under Rule 142(1A)) renders the proceedings void. While the Hon'ble Andhra Pradesh High Court has consistently held that non-issuance of DRC-01A for pre-15.10.2020 periods vitiates the proceedings, the broader legal context deserves careful scrutiny.

It is true that Rule 142(1A) was amended vide Notification No. 79/2020 – CT dated 15.10.2020, replacing the word "shall" with "may", thereby rendering pre-SCN consultation discretionary post-amendment. However, Section 73(5)/74(5) of the CGST Act, which mandates ascertainment of tax liability prior to adjudication, has remained unchanged. This raises a critical interpretational point: if ascertainment is still mandatory under the parent statute, how can the procedural mechanism (i.e., DRC-01A) be deemed purely optional?

In practical terms, DRC-01A remains the only legally prescribed mode for initiating voluntary tax payment before issuing a formal SCN. Its omission, particularly under Section 74, which involves reduced penalty amount, is far from a minor procedural lapse—it directly affects the fairness of the adjudication process and denies the taxpayer a right of reduced penalty as per National litigation policy.

That said, not every failure to issue DRC-01A should be treated as a fatal defect. From a strategic standpoint, however, remanding the matter to the same adjudicating authority for fresh proceedings offers little practical relief.



Whether denial of opportunity to cross-examine witnesses whose statements are relied upon in GST adjudication violates principles of natural justice under the Evidence Act?

Yes, The Hon'ble Madhya Pradesh High Court in ***Paper Trade Links Through Its Proprietor Shri Sandeep Bhargava v. Union of India & Others [Writ Petition No. 6061 of 2023, decided on 10.07.2025 – 2025 (7) TMI 837 – MP HC]*** held that failure to grant the assessee an opportunity to cross-examine witnesses whose statements form the basis of the tax and penalty proceedings amounts to a violation of the principles of natural justice. In this case, the petitioner challenged the adjudication process initiated under CGST provisions, primarily on the ground that statements of third parties were used against the petitioner without affording any chance to cross-examine such persons. The petitioner contended that this omission rendered the entire adjudication process unfair and contrary to the settled position of law under the Indian Evidence Act. The Court agreed with this contention, reiterating that the right to cross-examination is a fundamental facet of natural justice when statements are being relied upon to impose tax or penalty. The Court referred to the Supreme Court's authoritative pronouncements on the subject and noted that the adjudicating authority had failed to comply with such well-settled norms. Consequently, the impugned order was set aside and the matter was remanded to the competent authority to proceed afresh from the stage of cross-examination. The Court directed the authorities to ensure strict adherence to the principles of natural justice and procedural fairness during the de novo proceedings.

Author's Comments:

The denial of cross-examination in GST adjudication—especially when third-party statements are the foundation of tax or penalty demands—strikes at the very core of natural justice. It is now firmly settled that cross-examination is not a procedural luxury, but a substantive legal right when adverse evidence is being used against a taxpayer. The landmark Supreme Court decision in ***Andaman Timber Industries v. CCE 2015 (10) TMI 442 - SC - Central Excise*** unequivocally held that failure to permit cross-examination renders the adjudication order a nullity, irrespective of whether the facts otherwise appear established.

The right to cross-examine is embedded not only in Section 138 of the Indian Evidence Act but also in the broader jurisprudence of fair trial and procedural equity. This principle has found reinforcement in the recent judgment of the Kerala High Court in case of ***Nishad K.U., Prop. M/s. Woodtunes Enterprises Versus UOI 2025 (1) TMI 980 - KERALA HIGH COURT***, where it was held that the CGST Act does not override the duty to ensure natural justice under Article 14 of the Constitution.

Moreover, in GST proceedings, statements recorded under duress, during search or investigation, often become the sole basis of demand. If such statements are not tested through cross-examination, the entire adjudication rests on a one-sided narrative. Officers must appreciate that natural justice is not a procedural formality—it is a constitutional imperative.

Litigation Strategy Insight:

- Taxpayers must vigilantly demand cross-examination when third-party statements are cited against them, and place such request clearly on record.
- Even when statements appear signed or recorded voluntarily, unless corroborated independently, their evidentiary value remains weak unless subjected to scrutiny.
- If denied the opportunity, writ remedy becomes viable—not just for procedural lapse, but for breach of fundamental rights in quasi-judicial adjudication.



Can a revisional order passed u/s 108 of the CGST/SGST Act be sustained if it is cryptic, unreasoned, and passed by an officer not duly empowered on the date of order?

No, held the Hon'ble Chhattisgarh High Court in *M/s Agrawal Agro Centre through its Proprietor Sanjay Kumar Agrawal v. State of Chhattisgarh & Ors.* [WPT No. 101 of 2019, decided on 22.07.2025 | 2025 (7) TMI 1520 – Chhattisgarh High Court | 2025: CGHC:34773]. In this case, the petitioner challenged a revisional order dated 01.06.2019 passed suo motu under Section 108 of the Chhattisgarh Goods and Services Tax Act, 2017, contending that the order was passed without jurisdiction and in complete violation of natural justice. The petitioner pointed out that on the date of the impugned order, the officer who had passed the order had not yet been notified as a Revisional Authority under the Act. The enabling notification authorizing such officers under Section 108 was issued only later, on 07.08.2020. Moreover, the impugned revisional order was bereft of any reasons or justification for invoking revisional jurisdiction and failed to record any prima facie satisfaction regarding illegality or impropriety in the original proceedings. The Hon'ble Court examined the impugned order and the relevant statutory provisions and found merit in the petitioner's contention. It observed that exercise of revisional powers under Section 108 requires the existence of jurisdiction (conferred by notification) and that such powers must be exercised by assigning cogent and clear reasons, reflecting application of mind to the factual matrix. The Court reiterated that reasoned orders are not a formality but a cornerstone of natural justice, citing that "reason is the heartbeat of every conclusion." Since the impugned order lacked legal competence and failed to record any such reasons, it was declared unsustainable in law. The Court set aside the order dated 01.06.2019 and directed the concerned authority to forthwith drop the revision proceedings.

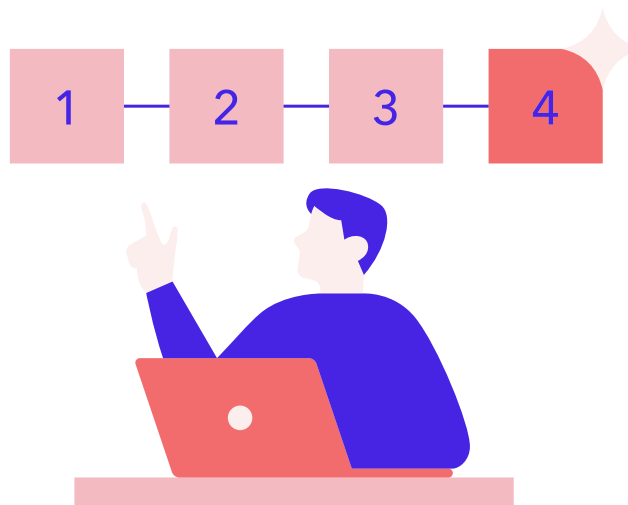
Author's Comments:

Section 108 of the CGST/SGST Act confers exceptional jurisdiction and cannot be invoked casually. To validly initiate revisionary proceedings, the revisional authority must clearly establish one or more of the specific statutory grounds:

- Erroneous, prejudicial to the interest of revenue, and illegal; or
- Erroneous, prejudicial to the interest of revenue, and improper; or
- Erroneous, prejudicial to the interest of revenue, and ignoring material facts; or
- Erroneous, prejudicial to the interest of revenue, pursuant to CAG observations.

Each ground must be separately established. Mixing or vaguely invoking multiple grounds betrays ambiguity, diluting the statutory threshold. If "prejudicial to the interest of revenue" becomes the sole operative basis—without demonstrating the accompanying statutory defect—it amounts to jurisdictional overreach.

Moreover, jurisdiction must pre-exist. If, on the date of passing the order, the officer was not duly notified as a revisional authority, the proceedings are a nullity. Coupled with absence of recorded reasons, the defect becomes incurable. Revisional jurisdiction is not a licence to reappraise orders merely because the department disagrees with the outcome—it must rest on cogent, reasoned findings that align strictly with the statutory triggers.



Can recovery proceedings under GST be directly initiated against the immovable property of a deceased taxpayer without first issuing notice to her legal representatives under Section 93 of the CGST Act?

No, held the Hon'ble Bombay High Court in *Sunil Thampy Nair v. State of Maharashtra* [Writ Petition No. 18019 of 2024, decided on 14.07.2025 | 2025 (7) TMI 1609 – Bombay High Court]. In this case, the petitioner challenged the recovery proceedings initiated against the immovable properties of his deceased wife, a registered taxpayer under GST. The Revenue, without issuing any prior notice to the legal heirs, had issued a demand and recovery order in Form GST DRC-16 attaching her immovable properties. The petitioner argued that under Section 93 of the CGST Act, 2017, any tax dues recoverable from a deceased person must first be pursued against their legal representatives, to the extent of the estate inherited, and not by directly proceeding against the deceased's assets without proper notice. The Hon'ble Bombay High Court found merit in the petitioner's contention and observed that Section 93 mandates the issuance of notice to the legal heirs before initiating any recovery from the estate of a deceased taxpayer. Proceeding straightaway to attach immovable properties without affording the legal heirs an opportunity of being heard was held to be contrary to law and violative of the principles of natural justice. Accordingly, the impugned order dated 22.12.2023 was set aside, and Form GST DRC-16 dated 30.07.2024 (which facilitated attachment of immovable property) was also quashed. However, liberty was granted to the Department to proceed afresh in accordance with Section 93 by issuing a notice to the legal representatives.

Author's Comments:

In this case, while the petitioner succeeded in getting the attachment quashed, the Court's direction to the Department to proceed afresh under Section 93 effectively reopened the door for recovery, albeit through proper notice to the legal heirs. Section 93 of the CGST Act provides for recovery from the estate of a deceased taxpayer. It applies where the person originally liable to pay tax has passed away and the liability is to be enforced to the extent of the estate inherited. Unlike Sections 73/74—which use the phrase “*person chargeable with tax*”—Section 93 uses “*person liable to pay*”, marking a deliberate legislative shift. Legal heirs are not the “*person chargeable with tax*” for the purposes of adjudication, but only a statutory conduit for recovery once liability is already determined.

Therefore, issuing a show cause notice to legal heirs under Sections 73/74 would be legally infirm for the reasons:

1. **They are not “*person(s) chargeable with tax*”** under the CGST Act, and hence cannot be subjected to adjudication under Sections 73 or 74.
2. **No valid service of notice under Section 169** can occur when the primary noticee is already deceased, rendering such service void ab initio.
3. **Order XXII Rule 1 of the CPC** provides that no proceedings can continue against a deceased person, and if the right to sue does not survive, all proceedings abate upon death.

These defects go to the root of jurisdiction and render any such proceedings non est in law. Also, unlike Section 159(2)(b) of the Income-tax Act, 1961, the CGST Act contains no deeming provision allowing initiation of proceedings *against* legal heirs for fresh determination of tax.



Can ITC be denied solely on the ground of non-submission of bank statements proving payment to creditors within 180 days under Section 16(2) of the CGST Act?

Yes, held the Hon'ble Calcutta High Court in **Tara Lohia Private Limited v. Additional Commissioner, CGST & CX, Kolkata South Commissionerate & Anr. [WPA 9655 of 2025, decided on 09.07.2025 | 2025 (7) TMI 1701 – Calcutta High Court]**. In this case, the petitioner was aggrieved by the rejection of its claim for ITC on the ground of alleged contravention of Section 16(2) of the CGST Act, 2017, which mandates payment to the supplier within 180 days from the date of invoice. The department concluded that ITC was inadmissible as the petitioner had failed to substantiate, through documentary evidence such as bank statements, that the payments to sundry creditors had indeed been made within the statutory time. The petitioner had responded to the audit objection (Form ADT-2) and to the subsequent show cause notice by furnishing a chart showing that except for one creditor, payments had been made to all others within 180 days. However, the department contended that no credible proof, such as bank remittance data, had been submitted to support this assertion.

The High Court observed that the issue was not with the jurisdiction of the authority, but with the fact that the petitioner failed to produce conclusive documentary evidence to support its claim of timely payment. The Court held that in the absence of such evidence, the proper officer's conclusion could not be faulted. The Court found no merit in the petitioner's reliance on **Raza Textiles Ltd v. Income Tax Officer, Rampur, reported in (1973) 1 SCC 633** as the case did not involve a lack of jurisdiction, but a factual dispute about payment timelines. The writ petition was thus disposed of, confirming the authority's view that denial of ITC due to non-substantiation of payment within 180 days is justified under Section 16(2) of the CGST Act. Moreover, it is held that decision on the challenge made in this petition is conclusively adjudicated between the parties, especially since, the petitioner has taken a chance and approached this Court. No further statutory challenge thereto, is maintainable as the petitioner cannot be permitted to have a second round before the appellate authority, so as to reopen the issues raised herein once again. If any other challenge which has not been presented in this petition, is raised in the appeal within a period of four weeks from date, provided the same is maintainable in law, the appellate authority, having regard to the observations made hereinabove, shall hear out the appeal and dispose of the same as expeditiously, as possible subject to compliance of all other formalities by the petitioner.

Author's Comments:

This case highlights multiple strategic and legal missteps by the petitioner. First, the petitioner could have challenged the jurisdiction of the Audit team to seek payment data beyond March 2022, since the audit authorization covered only July 2017 to March 2022. Any demand for post-March 2022 information was without jurisdiction.

Second, issuance of an SCN under Section 74 merely on assumptions—treating outstanding creditor balances as unpaid within 180 days—is akin to a *best judgment assessment*, which is incompatible with the scheme of Section 74. Adverse inference cannot be drawn without a bill-wise analysis of delay in payment.

Third, creditor balances cannot be the sole basis for reversal of ITC unless:

1. Suppliers where credit is not claimed are excluded;
2. Suppliers where credit is not reversed under Section 17(2) are excluded; and
3. Suppliers where credit is ineligible under Section 17(5) are excluded;

The burden of proof that the taxpayer has “failed to pay” within 180 days lies squarely on the Revenue. Mere absence of bank statements does not automatically prove default.

Lastly, the Hon'ble Court's strong observation—that by invoking writ jurisdiction and losing, the petitioner foreclosed their own statutory appellate remedy—should serve as a caution.



Can ITC be blocked under Rule 86A without recording valid "reasons to believe" and without examining the documentary evidence submitted by the taxpayer?

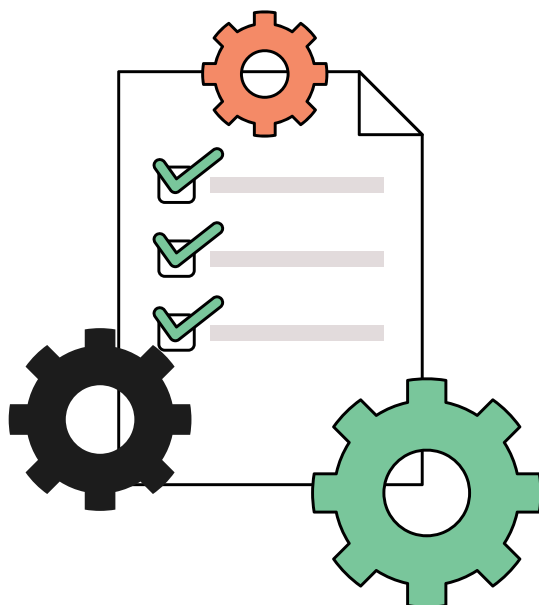
No, held the Hon'ble Orissa High Court in *M/s Transtech Solution v. Commissioner, CT & GST Odisha & Ors. [W.P. (C) No. 13821 of 2025, decided on 24.07.2025 | 2025 (7) TMI 1623 – Orissa High Court]*. In this case, the petitioner challenged the blocking of its Input Tax Credit under Rule 86A of the CGST/OGST Rules, alleging that the suppliers were non-existent and that ITC was fraudulently availed. The petitioner asserted that it had genuine transactions, duly supported by tax invoices, e-way bills, books of accounts, and payment proofs. However, without granting any opportunity of hearing or evaluating the material evidence submitted, the authorities proceeded to block the credit citing "fraudulent availment" under Rule 86A. The Hon'ble High Court clarified that blocking of credit under Rule 86A is an extraordinary power that can only be exercised when the Commissioner or an authorised officer (not below the rank of Assistant Commissioner) has "reasons to believe" that the ITC is ineligible or fraudulently claimed. The phrase "reasons to believe," as interpreted by the Supreme Court in *State of U.P. vs Aryaverth Chawal Udyog [2014 (11) TMI 1095 – SC]*, requires tangible material and an objective application of mind, not vague suspicion or administrative convenience. The Court observed that the authenticity of invoices, matching of records, and supplier status are all factual matters that can only be evaluated through proper adjudication upon submission of documentary evidence. Since no such adjudication was carried out and no clear reasons were recorded in support of the ITC blocking, the Court refrained from deciding on the factual merits but highlighted the procedural lapses and lack of evidentiary application.

Author's Comments:

Rule 86A of the CGST Rules confers an extraordinary and pre-emptive power, meant strictly for five narrowly defined situations. Its invocation must be based on clear, tangible material and supported by the statutory standard of "reasons to believe"—a threshold higher than mere suspicion or administrative expedience. ITC is a vested and indefeasible right, recognised as akin to property. Blocking its utilisation without first examining the taxpayer's documentary evidence—such as invoices, e-way bills, payment proofs, and books of accounts—amounts to a serious infraction of procedural fairness. The zeal to protect revenue does not legitimise bypassing due process.

The non-appealable nature of ITC blocking (despite its absence from Section 121 of the CGST Act) further heightens the duty of the Commissioner/authorised officer to act with restraint and precision. Notably, the Hon'ble Karnataka High Court in *K-9 Industries v. State of Karnataka [2024 (10) TMI 491]* has affirmed that an opportunity of hearing must be granted before blocking of the electronic credit ledger.

In the present case, the absence of recorded "reasons to believe," coupled with the failure to adjudicate upon the material evidence supplied by the taxpayer, rendered the ITC blocking procedurally unsustainable. Such lapses not only erode taxpayer trust but also risk judicial invalidation of the very revenue protection measures sought to be preserved.



Can factual disputes relating to GSTR-3B mismatches and supplier defaults be raised through a rectification application under Section 161 of the CGST Act?

No, held the Hon'ble Madras High Court in *Inventaa Associates v. Commercial Tax Officer, Mettur Salem II* [W.P. No. 22265 of 2025, decided on 23.06.2025 | 2025 (7) TMI 1443 – Madras High Court]. In this case, the petitioner had faced an adverse assessment order due to mismatch in ITC claimed in Form GSTR-3B. The mismatch arose because one of the petitioner's suppliers had failed to upload corresponding details in their GSTR-1. The petitioner initially failed to respond to the show cause notice dated 31.05.2024 and did not contest the proceedings on merits. After the assessment order was passed, the petitioner filed a rectification application seeking to address the alleged factual discrepancies, but the same was rejected by the department on 04.04.2025. The petitioner then approached the High Court challenging the rejection of the rectification request. The Hon'ble High Court upheld the rejection and dismissed the writ petition. It observed that a rectification application under Section 161 of the CGST Act can only be entertained if there is an error apparent on the face of the record, such as a clerical or arithmetical mistake, and not for reopening factual issues or arguments that were not raised during the original adjudication. The Court held that since the petitioner did not file any reply to the original show cause notice or participate in the adjudication, the factual disputes now raised could not be introduced through the route of rectification. The Court clarified that rectification is not a substitute for appeal or adjudication and that the assessing officer had rightly rejected the application. Accordingly, the petition was dismissed as devoid of merit.

Author's Comments:

Section 161 of the CGST Act is a narrowly scoped provision, meant only for correcting errors apparent on the face of the record—those that are self-evident, non-debatable, and require no reappreciation of facts or law. Such errors may be factual, legal, or clerical, but they must be immediately discernible without investigation.

If two views are reasonably possible, the issue falls outside the ambit of “apparent error.” Rectification cannot be used to:

- Reopen factual disputes,
- Revisit issues not raised during original adjudication, or
- Introduce fresh evidence or reasoning.

In practice, Section 161 is one of the most misused provisions, often invoked as a backdoor appeal to undo unfavourable orders. Courts have consistently clarified that it is not a substitute for appeal or revision.

In this case, the petitioner's litigation strategy was fundamentally flawed—treating a GSTR-3B mismatch and supplier default as a matter fit for rectification under Section 161 was misconceived from the outset.



Can a GST demand order passed under Section 73(9) be set aside if the notice was issued to an incorrect GSTIN?

Yes, held the Hon'ble Karnataka High Court in *M/s Drop Total Spirits Pvt. Ltd. v. Deputy Commissioner of Commercial Taxes (Audit), Tumakuru [W.P. No. 1520 of 2025 (T-RES), decided on 29.01.2025 | 2025 (7) TMI 1390 – Karnataka High Court]*. The petitioner, a private limited company, challenged an order dated 16.12.2023 passed under Section 73(9) of the KGST/CGST Act, contending that it was passed ex parte without issuance of proper notice. The petitioner submitted that no notice under Section 73 was ever served, and the discrepancy arose because the impugned order reflected the GSTIN of a sole proprietorship belonging to one Mr. Ravikumar Jonna, instead of the correct GSTIN belonging to the company. Though the order mentioned the petitioner's company name, the associated GSTIN referred to a different entity altogether. The department did not dispute the error in GSTIN. The Hon'ble Court observed that this error prevented valid service of notice, thereby depriving the petitioner of the opportunity to participate in the adjudication proceedings. Citing Section 75(4) of the CGST Act, which mandates a reasonable opportunity of hearing before adverse orders are passed, the Court held that the impugned order was vitiated for want of due process. Accordingly, it quashed the order and remanded the matter to the proper stage of issuance of notice. The petitioner was allowed to submit a reply within four weeks without raising any issue of limitation, and the department was directed to proceed afresh after granting full opportunity of hearing. All rights and contentions were kept open.

Author's Comments:

This case underscores a fundamental jurisdictional lapse—wrong identification of the “person chargeable with tax” vitiates the very foundation of adjudication. Section 169 of the CGST Act prescribes multiple permissible modes of service, but the choice is not unfettered; the proper officer must adopt the method most likely to ensure actual delivery to the correct person. Service upon an incorrect GSTIN cannot be cured by subsequent proceedings, as it fails to put the real taxpayer on notice.

Section 160(2) further clarifies that communications not in conformity with statutory requirements cannot bind the taxpayer. The duty to “put at notice” is non-delegable and central to due process—taxpayers are not obliged to guess, interpret, or fill in the blanks left by defective notices. Wrong identification strikes at the root of jurisdiction and is an incurable defect. In such circumstances, the proceedings ought to be given final quietus rather than being remanded for a second round of adjudication, as that effectively grants the department a procedural reset despite its own fatal lapse.



Can proceedings under Section 129(3) of the CGST Act be treated as concluded merely upon payment of tax and penalty, without passing a reasoned adjudication order, even when objections are filed?

No, held the Hon'ble Supreme Court in *M/s ASP Traders v. State of Uttar Pradesh & Ors.* [Civil Appeal No. 9764 of 2025, arising out of SLP (C) No. 17995 of 2022, decided on 24.07.2025 | 2025 INSC 890 | 2025 (7) TMI 1525 – Supreme Court]. In this case, goods and the vehicle of the appellant were detained during transit under Section 129 of the CGST Act. A notice under Section 129(3) was issued, to which the appellant filed objections and made payment of the proposed tax and penalty under protest. The authorities thereafter issued a discharge order in Form GST MOV-05, releasing the goods, but no final order under Section 129(3) was passed in Form GST MOV-09 or DRC-07. The appellant approached the High Court seeking a direction to the authorities to pass a speaking adjudication order, which was declined on the ground that the payment of tax and penalty deemed the proceedings to be concluded under Section 129(5). Aggrieved, the appellant approached the Hon'ble Supreme Court.

Allowing the appeal, the Apex Court held that the deeming conclusion under Section 129(5) merely signifies that no further prosecution shall be initiated upon payment of tax and penalty, but it does not absolve the proper officer from passing a final order when objections have been filed. The Court emphasized that the right to appeal under Section 107 is a substantive right and can be exercised only when a formal adjudication order is passed. Without such an order, the taxpayer is deprived of appellate remedy, violating the principles of natural justice. The Court held that where payment is made under protest and objections are on record, adjudication is not optional—it becomes mandatory. The expression "shall... and thereafter, pass an order" in Section 129(3) indicates the compulsory nature of a reasoned order even if tax and penalty are paid. The Court also explained that waiver of rights requires clear intention, which cannot be inferred in such cases. Accordingly, the Supreme Court set aside the High Court's order, and directed the concerned officer to pass a speaking order under Section 129(3) in Form GST MOV-09 and upload its summary in Form DRC-07 within one month, after granting an opportunity of hearing under Section 129(4).

Author's Comments:

This ruling reinforces that payment of tax and penalty—especially when made under protest—does not erase the requirement for a reasoned adjudication order under Section 129(3). The GST law may not expressly recognize "payment under protest" or allow pre-deposits beyond prescribed limits, but the constitutional guarantee of due process ensures that taxpayers can challenge demands even after such payments.

The difference between admission and confession is crucial. An admission is an acknowledgment of certain facts, which may contribute to establishing liability, whereas a confession is a complete acceptance of guilt, ending further inquiry. In tax matters, such "confessions" cannot be presumed merely from payment; the officer must verify that the taxpayer understood the legal nature of the alleged offence, and that the payment was not induced by coercion, threat, or misunderstanding.

Adjudication is not a formality—it safeguards the taxpayer's statutory right to appeal under Section 107. Skipping it on the assumption that payment concludes proceedings not only undermines natural justice but also allows administrative convenience to override statutory mandates. As the Apex Court clarified, the obligation to pass a speaking order is absolute when objections are on record.



Can delay beyond the condonable period in filing a GST appeal be condoned where sufficient cause, such as medical emergency, is shown?

Yes, held the Hon'ble Madras High Court in *Tvl. Bullmenn Motors v. Deputy Commissioner (CT), Coimbatore [W.P. No. 25730 of 2025, decided on 15.07.2025 | 2025 (7) TMI 1397 – Madras High Court]*. The petitioner, a partnership firm engaged in the business of motorcycles and scooter sales and service, was issued a demand under Section 74 of the TNGST Act for AY 2019–20 citing discrepancies in outward supply, ITC mismatches, e-way bill generation, and delayed GSTR-3B filings. Although the petitioner had filed replies to both the DRC-01A and DRC-01 notices, the adjudicating authority passed an order dated 07.01.2025 confirming demand of interest and a penalty of ₹5.82 lakh on alleged non-generation of e-way bill, while dropping other components. The petitioner filed an appeal under Section 107 of the TNGST Act on 16.06.2025, which was beyond the prescribed limitation by 70 days (i.e., 40 days beyond the condonable period). The appellate authority rejected the appeal citing delay. In the writ petition before the High Court, the petitioner contended that the delay was due to the managing partner's prolonged medical treatment, and the fact that the order came to light only after a departmental call. Considering the explanation to be genuine, the Court exercised its writ jurisdiction to condone the delay subject to payment of ₹10,000 to a government hospital. Upon proof of payment, the appellate authority was directed to entertain and decide the appeal on merits in accordance with law.

Author's Comments:

Section 107(4) of the CGST Act, 2017 prescribes a strict time limit for filing a first appeal—three months from the date of communication of the order, extendable by one additional month at the discretion of the Appellate Authority. Once this outer limit of four months' lapses, the Appellate Authority becomes functus officio and has no power to condone delay, even if compelling or bona fide reasons exist.

This position has been settled by the Hon'ble Supreme Court in *Singh Enterprises v. CCE [2008 (221) ELT 163 (SC)]*, where it was held that when the statute clearly restricts the period for filing and condoning an appeal, no further extension can be granted, and any such attempt would override the legislative mandate.

The taxpayer should have strategically mentioned the actual date of receipt of the order as the date of communication under Section 107(1) of the CGST Act. This would align the appeal within the permissible limitation period. Accordingly, Table 17 of Form GST APL-01 should have clearly asserted that there is no delay in filing.

However, once the taxpayer admits delay, either expressly or by indicating an earlier date of communication, the Appellate Authority is stripped of any power to condone such delay beyond the statutorily allowed period. The rigid framework of Section 107(4) offers no discretion once the outer time limit is breached—turning a curable procedural lapse into a fatal legal bar.



Can unutilized ITC be denied transfer under Section 18(3) of the CGST Act merely because the transferor and transferee are located in different States?

No, The Hon'ble Bombay High Court in *Umicore Autocat India Private Limited (after amalgamation of M/s Umicore Anandeya India Private Limited) v. Union of India & Ors. [2025 (7) TMI 1188 – Bombay High Court, W.P. No. 463 of 2024, decided on 10.07.2025]* held that there is no restriction under Section 18(3) of the CGST Act or Rule 41 of the CGST Rules limiting the transfer of ITC in the case of amalgamations or mergers to entities situated in the same State or Union Territory. In this case, the petitioner, Umicore Autocat India Pvt. Ltd., being the amalgamated entity, sought to transfer unutilized Input Tax Credit from the transferor company (M/s Umicore Anandeya India Pvt.Ltd.) pursuant to a scheme of amalgamation duly sanctioned under the Companies Act. The transfer request was rejected by the department on the ground that the GST portal required both the transferor and transferee to be situated in the same State, and since they were in different States, the ITC transfer was not allowed. The High Court examined the legal framework under Section 18(3) read with Rule 41 and found no such geographical restriction imposed by law. It emphasized that statutory interpretation must be based on the plain language of the law, and courts cannot read words into a statute which the legislature has deliberately chosen not to include. The Hon'ble Court further observed that the requirement appearing on the portal had no legal backing and cannot override the statute. Citing settled principles of interpretation, the Court held that "what is not stated by the legislature cannot be supplied by judicial interpretation" and "legislative intent must be gathered from what is said, not what is omitted." Thus, the Hon'ble Court allowed the writ petition and quashed the denial of ITC transfer. It directed the authorities to permit the transfer of ITC under Section 18(3), notwithstanding the inter-State nature of the merger.

Author's Comments:

This judgment reaffirms the cardinal principle that portal design cannot dictate substantive tax rights—particularly when the statute itself contains no such limitation. Section 18(3) of the CGST Act read with Rule 41 of the CGST Rules simply provides that unutilized ITC can be transferred in cases of sale, merger, demerger, amalgamation, lease, or transfer of a business as a going concern. Nowhere does the law mandate that both transferor and transferee must be registered in the same State.

The department's objection was essentially rooted in a technical portal configuration, not in any statutory text. Such a restriction is ultra vires as it attempts to create a condition the legislature consciously omitted. The Bombay High Court's reliance on settled canons of interpretation—*expressio unius est exclusio alterius* (the express mention of one thing excludes all others) and the rule against supplying omissions—rightly prevented an administrative or digital constraint from curtailing a substantive benefit.



Whether refund of accumulated ITC under Section 54(3) of the CGST Act can be denied merely on the ground that the input and output supplies are the same, by applying Para 3.2 of Circular No. 135/05/2020-GST?

No, The Hon'ble Karnataka High Court in *M/s. MK Agrotech Private Limited v. Union of India & Ors. [2025 (7) TMI 914 – Karnataka HC, decided on 03.07.2025, WRIT PETITION NO. 14449 OF 2024 (T-RES)]* dealt with the denial of refund of accumulated ITC to the petitioner, a manufacturer and exporter of crude sunflower oil. The department had restricted the refund claim by invoking the last sentence of Para 3.2 of Circular No. 135/05/2020-GST, which disallows refund of ITC where the input and output supplies are the same. The petitioner challenged this interpretation, relying on the High Court's earlier decision in *Indian Oil Corporation Ltd. v. ACCT [2025 (5) TMI 538 – Karnataka HC]*, where such a restriction was held impermissible.

The Hon'ble Court reiterated its view that the phrase in the circular is contrary to the scheme of Section 54(3) of the CGST Act and its proviso. The restriction cannot override statutory entitlement merely because the same goods are used as input and output. The Hon'ble Court noted that once it is established that there is an inverted duty structure, the refund of unutilized ITC cannot be denied solely based on such circular instructions. Applying the *Indian Oil Corporation* ratio, the Court found no justification for denial of refund in the present case and directed the authorities to process the refund accordingly. Accordingly, the writ petition was allowed and the impugned orders were set aside.

Author's Comments:

The recurring litigation on Para 3.2 of Circular No. 135/05/2020-GST is a classic example of delegated instructions attempting to override statutory rights, contrary to settled constitutional principles. Section 54(3)(ii) of the CGST Act is unambiguous—it grants refund of unutilized ITC when accumulation arises “on account of” the rate of tax on inputs being higher than the rate of tax on output supplies. The statute neither restricts this benefit to situations where inputs and outputs are different, nor authorizes the executive to add such a condition.

The phrase “plural inputs and outputs” in the provision underscores that the analysis is transaction-level, not commodity-level. Even if one of the inputs is the same as the output, the refund cannot be denied if, overall, there is accumulation due to an inverted duty structure. The department's insistence on comparing only the principal input with the principal output is a misapplication of the law and an impermissible reading into the statute.

The Karnataka High Court in *Indian Oil Corporation Ltd.* and now in *MK Agrotech* has rightly read down the restrictive portion of Para 3.2, restoring the primacy of the statutory text over circular instructions.



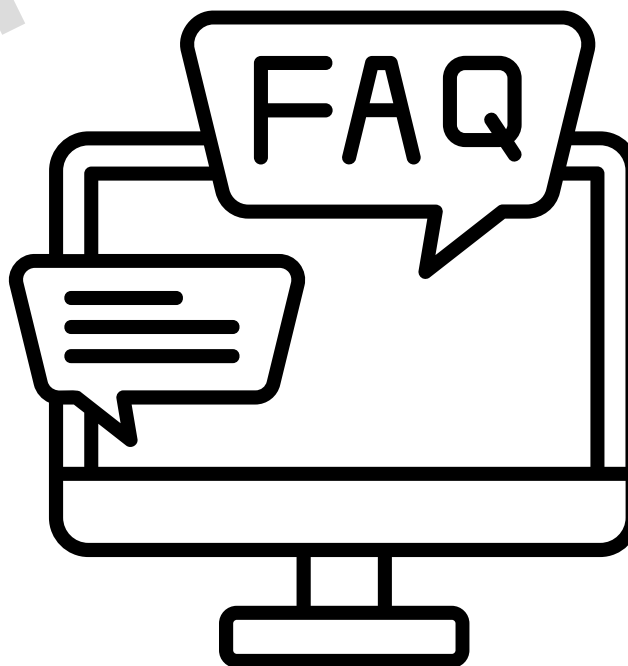
Whether issuance of personal hearing notice simultaneously with the SCN under Section 73 indicates pre-determined mind and violates Section 75(4) of the CGST Act?

No, The Hon'ble Calcutta High Court in *Naina Gupta v. Assistant Commissioner of State Tax & Ors. [WPA 3186 of 2025, decided on 16.06.2025, 2025 (6) TMI 1570 - CALCUTTA HIGH COURT]* held that granting an opportunity of hearing along with the issuance of show cause notice under Section 73 does not, by itself, indicate a pre-determined mind or violate Section 75(4) of the CGST Act. The petitioner had challenged the adjudication order dated 02.12.2024 on the ground that the personal hearing notice was issued simultaneously with the SCN dated 25.04.2024, allegedly showing bias and prejudgment. It was further argued that the notice and order were uploaded under "additional notices and orders" on the portal, which the petitioner's accountant failed to notice until January 2025. The Hon'ble Court, however, observed that a pre-show cause notice (DRC-01A) was issued on 19.12.2023, and that the sequence of notices reflected sufficient procedural compliance. The Court clarified that Section 75(4) only mandates an opportunity of hearing if adverse decision is contemplated or when requested in writing. The dictionary meaning of "contemplate" does not imply a finalized decision or bias. Since the petitioner did not respond or appear for hearing despite opportunity, the Court found no violation of natural justice. Dismissing the writ petition, the Court directed that if an appeal is preferred within four weeks, the appellate authority should consider it on merits, subject to statutory compliance.

Author's Comments:

In the author's considered opinion, this practice of clubbing the hearing notice with the SCN gives rise to a legitimate apprehension of bias. At the time of issuing SCN, the taxpayer's reply is yet to be received and examined. Issuing a hearing notice simultaneously implies that the adjudicating authority has pre-decided the necessity of a hearing, suggesting an *ex ante* assumption that the case is fit for confirmation—thereby diluting the neutral stance the officer is expected to maintain. The word "contemplates" in Section 75(4) must be understood contextually, emphasizing the duty to form a *prima facie* view *after* considering the taxpayer's reply, not *before*.

Furthermore, from a strategic litigation standpoint, taxpayers should evaluate whether invoking writ jurisdiction for a remand serves any meaningful purpose. Seeking remand merely reopens the case before the same adjudicating officer, offering no real relief if the issue is rooted in bias or procedural unfairness. The true remedy in such cases lies in setting aside the demand altogether, forcing the department to re-initiate proceedings afresh—if *legally sustainable*—under proper compliance with principles of natural justice.



Whether confiscation proceedings under Section 130 of the CGST Act are sustainable in absence of valid service of notice to the vehicle owner as per Section 169?

No, The Hon'ble Kerala High Court in **Mathai M.V. v. The Senior Enforcement Officer, Ernakulam & Ors. [2025 (6) TMI 1844 – Kerala HC, WA No. 973 of 2025, decided on 24.06.2025]** held that confiscation proceedings under Section 130 of the CGST Act, 2017 are vitiated if notice is not served in accordance with Section 169 of the Act. The petitioner, owner of a truck bearing registration No. KL-31 J-5759, had transported bilge water from INS Vikramaditya. The vehicle was moved to a parking area and later detained by the authorities who issued a confiscation order dated 21.12.2024 under Section 130 of the CGST Act. The petitioner claimed he was never served a valid notice under Section 130 prior to the confiscation order and that his vehicle continued to be in custody without any hearing. The respondents contended that the confiscation order was received by the petitioner and that prior communications were made via WhatsApp. The Single Judge rejected the writ petition, stating that the petitioner had acknowledged receipt of the confiscation order and was free to proceed under the statutory mechanism. On appeal, the Division Bench noted that Section 130(4) of the CGST Act mandates an opportunity of hearing before confiscation, and such opportunity must be preceded by valid notice served as per Section 169. The Court observed that mere WhatsApp messages do not qualify as valid service under Section 169. There was no evidence of proper service of notice on the vehicle owner before concluding confiscation. The Court also relied on the Gujarat High Court's ruling in **Lakshay Logistics, 2021(1) TMI 99- GUJARAT HIGH COURT** and held that such proceedings were without jurisdiction. Consequently, the confiscation order and the judgment of the Single Judge were quashed, and the matter was remanded to the authorities for fresh adjudication after issuance of proper notice and opportunity of hearing within the prescribed timeline.

Author's Comments:

Section 130(4) explicitly mandates an opportunity of hearing before any confiscation, which necessarily implies that the affected person must be *consciously made aware* of the proposed action through proper service. The reliance by the department on *WhatsApp communication* in this case reflects a growing trend of informality that cannot substitute the legal mandate under Section 169. Although Section 169 of the CGST Act, 2017 provides 14 different modes for serving decisions, orders, summons, notices, or other communications, authorities must exercise due diligence in selecting the most effective method—one that ensures the notice actually reaches the intended recipient. Simply picking any option at random does not fulfil the requirement of proper service under the law.

Importantly, this case reiterates a well-settled principle: in case of a dispute regarding service of notice, the burden lies on the department to prove that notice was duly served in accordance with law. The absence of such proof vitiates not just the notice, but the entire proceedings flowing from it—including the final confiscation order.



Whether a provisional attachment order under Section 83(1) of the CGST Act can remain effective beyond one year from its issuance date?

No, the Hon'ble Bombay High Court in **Ashok Kumar Vishwakarma v. Union of India & Ors., Writ Petition No. 8539 of 2025, decided on 30.06.2025 [2025 (7) TMI 398 – BOMBAY HC]**, held that the provisional attachment under Section 83(1) of the CGST Act automatically ceases to have effect after one year, as per Section 83(2) of the Act, and any attachment order continuing beyond such period is without authority of law.

The petitioner challenged the provisional attachment of his bank account ordered on 5th April 2024 under Section 83(1) of the CGST Act. The order had been passed pending adjudication proceedings which later culminated in an Order-in-Original dated 28th January 2025. The petitioner had also filed an appeal against the said order after making the required pre-deposit. By the time the writ was heard, one year from the date of the provisional attachment had already lapsed. The Court held that as per Section 83(2) of the CGST Act, any provisional attachment order automatically ceases to have effect upon the expiry of one year from the date it was passed. In this case, since the order was issued on 5th April 2024, it lapsed on 4th April 2025, and any continuation of such attachment thereafter is without legal authority. The Court emphasized that even without considering the fact that adjudication proceedings had concluded and an appeal was pending, the mere lapse of one year rendered the attachment unenforceable. Consequently, the impugned order was quashed, and the authorities were directed to issue instructions to the bank for de-freezing the petitioner's account within one week.

Author's Comments:

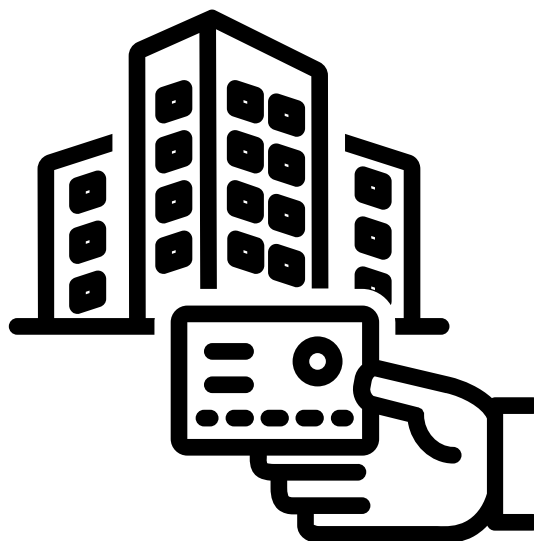
Section 83(2) explicitly limits the life span of a provisional attachment to one year, beyond which it automatically ceases to have effect, without requiring any formal revocation. This limitation isn't merely procedural—it is rooted in constitutional principles of proportionality, fairness, and non-arbitrariness.

In the author's view, continuing a provisional attachment beyond the one-year threshold amounts to a gross overreach of executive power, bereft of statutory support. The moment one year elapses, the attachment order is dead in law—it cannot be resuscitated or extended by implication. This case is a textbook instance of how statutory timelines act as bulwarks against administrative excesses, ensuring that temporary coercive tools are not transformed into permanent weapons of harassment.

More significantly, there is distinction between provisional attachment and recovery. Attachment under Section 83 is merely a preventive lien, not a conclusive declaration of liability, nor a recovery mechanism. It exists only to protect the interests of revenue during pendency of proceedings, and must fade the moment those proceedings attain finality, whether through adjudication or appeal.

Importantly, courts have now started characterizing unjustified continuance of attachment—especially of bank accounts—as tantamount to “coercive appropriation” or even “institutionalised confiscation” without due process.

Similar decision was given in case of **Seema Gupta v. Principal Commissioner of GST [W.P. (C) NO. 7387 of 2024 dated May 24, 2024, 2024(6) TMI 1152 – DELHI HIGH COURT]** by the Honorable Delhi High Court.



Can a retired partner escape GST liability of the firm if intimation of retirement was not timely furnished to the Commissioner under Section 90 of the CGST Act?

No, held the Hon'ble Punjab & Haryana High Court in *Harvinder Singh v. State of Punjab & Ors.* [CWP No. 9172 of 2025, decided on 18.07.2025 | 2025 (7) TMI 1615 – Punjab & Haryana High Court (DB)]. The petitioner, Harvinder Singh, sought to set aside the summoning order and to restrain the authorities from proceeding against him in relation to tax dues of the partnership firm from which he claimed to have retired. He asserted that he had ceased to be a partner from 20.04.2021, and requested that his name be removed from the GST records. However, the department had continued to treat him as liable, and proceedings including attachment were initiated. The Court noted that under Section 90 of the CGST Act, where a partner retires, liability continues until intimation of such retirement is given in writing to the Commissioner. In the present case, although the petitioner claimed to have retired in April 2021, he only furnished such intimation much later in February 2025, as evidenced from documents annexed as P13. The Court questioned why no such intimation was made at the appropriate time, as required by the statute. Relying on the first proviso to Section 90, the Court held that a retiring partner remains liable for the firm's tax dues until the date on which the Commissioner receives the written notice of retirement, and thus the petitioner could not claim immunity merely on the basis of internal reconstitution documents or verbal assertions. Accordingly, the writ petition was dismissed, with liberty to the petitioner to pursue appropriate statutory remedies, if available in accordance with law.

Author's Comments:

A partnership firm, in substance, is nothing more than the collective identity of all its partners; the firm's liabilities are the partners' liabilities. While the CGST Act, through Section 2(84), treats a firm as a "person" by legal fiction for taxation purposes, that fiction does not erase the personal liability of partners—especially in the context of tax dues.

Section 90 of the CGST Act lays down a clear and mandatory procedure for notifying the jurisdictional Commissioner about a partner's retirement. The first proviso to Section 90 operates as a safeguard for the Revenue: until such written intimation is received by the Commissioner, the retiring partner remains liable for all dues of the firm. Internal reconstitution deeds, verbal understandings, or even ROC filings under the Partnership Act cannot substitute for this statutory notice. In this case, the petitioner's reliance on the date of internal retirement (20.04.2021) was legally irrelevant because the statutory intimation was given almost four years late (February 2025). By then, liability for the intervening period had already crystallised. This underscores a vital compliance point for practitioners and businesses alike: Retirement without timely intimation under Section 90 is no retirement at all in the eyes of GST law.



Whether delayed challenge to GST adjudication order can be entertained without satisfying the pre-deposit requirement under Section 107 of CGST Act?

No, the Honorable Madras High Court in *Tvl. Altec Fabricators v. The Assistant Commissioner, Thiruverumbur Assessment Circle & Ors. [W.P. (MD) No. 17045 of 2025, decided on 25.06.2025, 2025 (7) TMI 775 – MADRAS HIGH COURT]* held that the impugned order at the distant point of time on merits or on the account of violation of principles of natural justice cannot be countenanced. Therefore, it is liable to be rejected. The petitioner challenged an order dated 30.08.2024 passed under Section 73 of the GST Act, claiming that they had not replied to the DRC-01 notice dated 27.05.2024 and that the appeal filed against the order was dismissed on 20.05.2025 for delay and non-payment of mandatory pre-deposit under Section 107. The petitioner sought quashing of the adjudication order long after the appeal dismissal, claiming they had paid around ₹22.45 lakh (less than 5% of the disputed tax demand of ₹5.23 crore) and offered to pay additional amount to explain their case. The department opposed the petition citing delay and non-compliance with statutory pre-deposit requirement. The High Court held that a belated writ petition challenging the adjudication order cannot be entertained merely on merits or grounds of natural justice, especially when statutory appellate remedy was not properly availed. However, following a consistent approach adopted in similar matters, the Court allowed conditional relief. It directed the petitioner to deposit 25% of the disputed tax within six months, failing which the writ petition would stand dismissed automatically. If the condition is fulfilled, the impugned order would stand quashed and the petitioner may submit a reply to the DRC-01 notice (treating the earlier order as its addendum) within 30 days. The department was directed to pass fresh orders after granting a hearing.

Author's Comments:

This is a textbook illustration of how constitutional courts, in exercise of their extraordinary jurisdiction under Article 226, step in to “mould relief” where strict adherence to statutory time limits and procedural requirements would otherwise result in gross miscarriage of justice. While the petitioner failed to comply with the mandatory pre-deposit under Section 107(6) and the time limits prescribed under Section 107(1) & (4), the Hon'ble High Court, applying equitable considerations, granted conditional relief to balance fairness with statutory discipline.

The first appellate authority is statutorily constrained. Once the limitation period (3 months under Section 107(1) + 1-month condonable delay under Section 107(4)) lapses, the authority is denuded of any jurisdiction to entertain the appeal, regardless of the genuineness of delay or substantive merit of the case. Further, non-payment of the minimum 10% pre-deposit of the disputed tax renders the appeal invalid ab initio under the negative command of Section 107(6).

That said, the case also exposes glaring lapses on part of the departmental counsel, who failed to raise forceful objections on statutory limitations. Had the counsel emphasized the jurisdictional bar faced by the appellate authority and the fatal impact of non-payment of pre-deposit, the Court may have been compelled to deny relief. The doctrine of moulding relief does not override statutory mandates unless exceptional circumstances are present and well-articulated by either party.



Whether assessment denying Input Tax Credit based on mismatch in GSTR-2A without applying CBIC Circular for FY 2017–18 is sustainable in law?

No, The Hon'ble Patna High Court in *ARCON Project Pvt. Ltd. v. State of Bihar [Civil Writ Jurisdiction Case No. 18672 of 2024, decided on 11.12.2024, 2025 (7) TMI 687 (Patna HC)]* held that where the mismatch in ITC arises due to non-reflection of invoices in GSTR-2A for FY 2017–18, the proper procedure prescribed under CBIC Circular dated 27.12.2022 must be followed before denying credit.

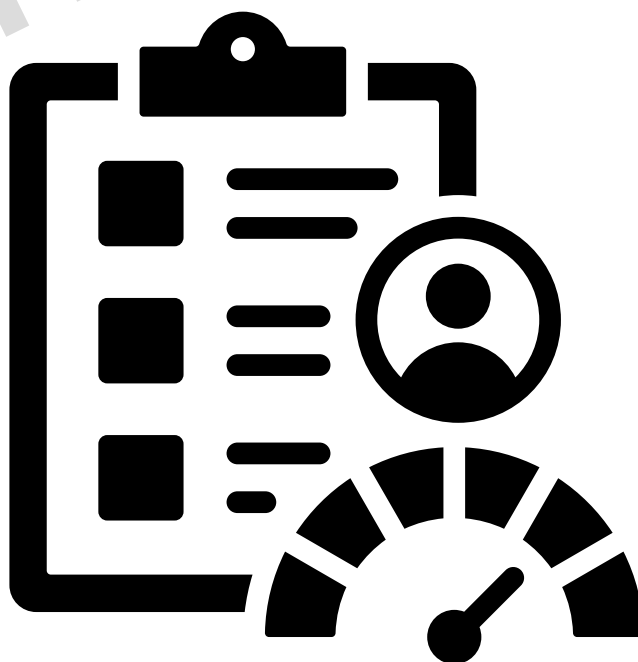
The petitioner had challenged an assessment order for FY 2017–18 denying input tax credit of ₹34,69,280/- on the ground that the same was not reflected in GSTR-2A. The petitioner contended that the mismatch occurred because the supplier had failed to file GSTR-1 while having filed GSTR-3B, thereby affecting reflection of invoices in GSTR-2A. The petitioner placed reliance on CBIC Circular No. CBIC-20001/2/2022-GST dated 27.12.2022, which provided a specific relaxation and procedure to be followed for such mismatches for FYs 2017–18 and 2018–19. The High Court observed that the Assessing Authority was required to apply Clause 3(a) read with Para 4 of the said Circular, which provides for a verification mechanism in cases where GSTR-1 is not filed but GSTR-3B is filed by the supplier. Since the impugned assessment and appellate orders had failed to consider and apply the benefit of the Circular, the High Court set aside both orders and directed the Assessing Officer to redo the assessment in light of the said CBIC Circular. The writ petition was accordingly allowed.

Author's Comments:

Mechanical reliance on GSTR-2A for denying ITC, especially for FY 2017–18 and 2018–19, is legally unsustainable unless procedural safeguards laid down in CBIC Circular 183/15/2022 & 193/05/2023 are strictly followed.

In the author's considered view, denial of ITC merely because the invoice was not reflected in GSTR-2A, without examining whether the tax was actually paid to the Government by the supplier, amounts to a case premised on incomplete investigation incapable of bringing home the allegations levelled.

The petitioner could have challenged the cause of action itself, specifically the mismatch between GSTR-2A and GSTR-3B, and placed the burden of proof on the Revenue to substantiate its claims. While such discrepancies may raise suspicion, suspicion alone cannot justify a demand unless supported by proper evidence. Without the Revenue effectively discharging its burden of proof and providing substantive evidence, allegations based solely on data mismatches remain legally unsustainable.



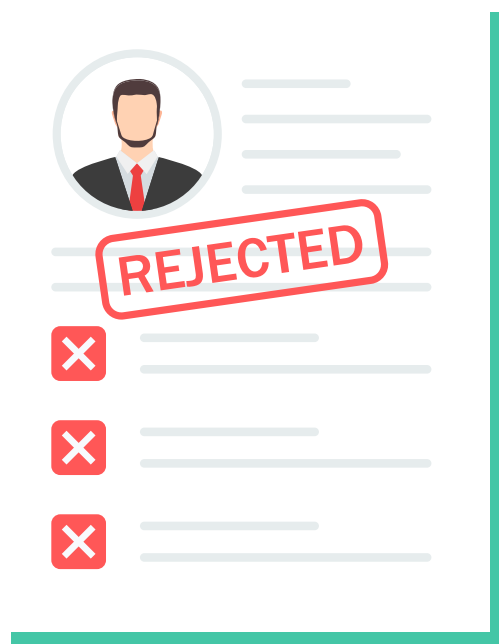
Whether rejection of rectification application without granting personal hearing is valid when key documents were already available with the adjudicating authority?

No, the Hon'ble Delhi High Court in case of **Larsen & Toubro Ltd. and Passavant Energy and Environment GmbH JV v. Commissioner of Delhi Goods and Service Tax & Anr. [2025 (7) TMI 402 - Delhi High Court, decided on 03.07.2025, W. P. (C) 12977/2024 & CMAPPL. 54095/2024]** set aside the order rejecting the rectification application, as it was passed without granting an opportunity of hearing, even though critical documents like GSTR-1 were already on record. The petitioner challenged a show cause notice dated 04.12.2023 and the consequent adjudication order dated 29.04.2024 passed by the Delhi GST Department for FY 2018–19, along with the rejection of rectification application dated 30.07.2024. The SCN had raised two major objections—non-reconciliation between GSTR-1 and GSTR-9 (₹55.38 lakhs), and ITC claimed from defaulting dealers (₹61.83 lakhs). However, the final order demanded ₹2.38 crores, which was significantly higher. The petitioner submitted a rectification application, pointing out that GSTR-1 was available with the department and attached with DRC-07, thus no adverse inference should have been drawn on the reconciliation ground. The Court found that the rectification application was dismissed without affording a personal hearing and that one of the grounds in the SCN was factually incorrect, since the relevant data (GSTR-1) was already in departmental possession. Observing that rejection without considering such material amounts to denial of natural justice, the Court restored the rectification application, directed the issuance of a fresh notice of personal hearing, and instructed the authority to re-decide the matter on merits without granting adjournments.

Author's Comments:

Section 161 of the CGST Act, 2017, is a narrowly tailored rectification power, designed to correct apparent errors—such as typographical mistakes or arithmetic inaccuracies—that are evident on the face of the record. In the author's considered view, Section 161 is not a backdoor for re-adjudication, nor a tool for the department to fix substantial errors post-facto. Likewise, taxpayers cannot use it as a substitute for a statutory appeal. Once an order is passed on merits, any challenge to factual findings or legal conclusions must travel through the appellate hierarchy, not through a disguised rectification route.

The case also reiterates the dictum laid down in **HVR Solar Pvt. Ltd. v. STO [2025 (4) TMI 730 - Delhi HC]**, where the Hon'ble Court had clearly ruled that non-grant of hearing before rejecting a rectification plea is fatal and renders such rejection unsustainable in law.



Whether an ex-parte disposal of a GST appeal without granting a fair opportunity of hearing warrants remand for fresh adjudication?

Yes, The Hon'ble Calcutta High Court in ***Hotel Rudra & Anr. v. Deputy Commissioner, State Tax & Ors.*** [WPA 506 of 2022, decided on 04.07.2025 – 2025 (7) TMI 550 – Calcutta HC] held that an appellate order passed ex-parte without proper hearing violates the principles of natural justice and must be set aside for fresh adjudication. In the present case, the petitioners, a partnership firm engaged in hotel operations under the name "Hotel Rudra" and registered under the West Bengal GST Act, were subjected to enhanced tax demand based on a difference in turnover detected during a search and seizure operation. The department raised a demand of ₹10,30,277 based on alleged supplies of food, hukka, and banquet services in addition to their disclosed turnover from room rent. The petitioner filed an appeal against the adjudication order dated 15.12.2020; however, the appellate authority disposed of the appeal ex-parte vide order dated 28.09.2021, which became the subject matter of the present writ petition. While the department contended that the petitioner failed to appear despite opportunities, the Court found that the matter had been concluded without examining the merits of the case. The Court emphasized that the principles of natural justice require affording a fair hearing before deciding the appeal, and where such opportunity is denied, the order cannot be sustained. Accordingly, the Court remanded the matter back to the appellate authority with a direction to fix a hearing date, duly notify the petitioner, and pass a reasoned order within eight weeks from the communication of the Court's decision. It was clarified that no further adjournments shall be granted and that the petitioner must appear on the scheduled date, failing which the authority may proceed ex-parte.

Author's Comments:

This judgment reaffirms the fundamental principle that quasi-judicial adjudication cannot be reduced to a mere procedural formality. Section 107(11) and (12) of the CGST Act, 2017 impose a mandatory duty on the Appellate Authority to pass a reasoned and speaking order—even in the event of non-appearance by the appellant.

The High Court rightly held that non-attendance alone does not absolve the appellate officer from evaluating the grounds raised in the appeal and adjudicating the dispute on merits. The mandate of law is not that the appellate authority becomes a mute spectator if the appellant fails to appear. On the contrary, the burden shifts on the authority to apply its mind independently, assess the adjudication order, the appeal memo, and supporting records, and deliver a speaking order addressing the contentions raised—even if ex-parte.

The principle is well-established in ***CIT v. Chenniappa Mudaliar*** [(1969) 1 SCC 591], wherein the Hon'ble Supreme Court laid down that dismissal of appeals for default without consideration on merits is not permissible under tax laws. This principle applies squarely to GST appellate proceedings, where quasi-judicial discipline must be observed.



Whether the Appellate Authority is justified in rejecting additional evidence under Rule 112 of CGST Rules where such evidence was not earlier called for by the Adjudicating Authority?

No. The Hon'ble Gujarat High Court in *Maxwell Engineering Solutions Pvt.Ltd. v. Assistant Commissioner of Central GST & Excise [R/Special Civil Application No. 6718 of 2025, decided on 04.07.2025 – 2025 (7) TMI 691 – Gujarat HC]* held that the Appellate Authority ought to have considered the additional evidence filed by the petitioner—specifically the EPCG Certificate and Bank Guarantee—where such documents had not been sought during adjudication, and their production did not fall under any of the restrictive clauses (a) to (d) of Rule 112 of the CGST Rules. In the present case, the petitioner, engaged in export of engineering parts, filed a refund claim under Rule 96 of the CGST Rules for ₹2,33,466 in respect of IGST paid on exports during November 2023. The department issued an RFD-08 notice alleging violation of Rule 96(10) owing to availing benefit of Notification No. 79/2017-Customs. The petitioner responded with invoices, bills of entry, and export documents, asserting that the goods imported were capital goods under the EPCG scheme, which is specifically excluded from the restriction under Rule 96(10). Despite this, the refund claim was rejected, and on appeal, the Appellate Authority declined to admit the EPCG Certificate and Bank Guarantee as additional evidence, citing Rule 112. The High Court observed that the petitioner was never asked to furnish the EPCG Certificate during adjudication, and none of the disqualifying clauses of Rule 112 applied. Since the EPCG imports of capital goods are exempt from the restriction under Rule 96(10), the Appellate Authority should have verified the evidence to determine eligibility. The Court, therefore, quashed the appellate order and remanded the matter back to the Appellate Authority for de novo consideration of the additional evidence and to pass a fresh order within twelve weeks.

Author's Comments:

Rule 112 of the CGST Rules must be read in consonance with the principles of natural justice and fair adjudication. Appellate Authorities under GST cannot summarily reject additional evidence unless the case squarely falls within the prohibitive grounds laid down under Rule 112(3). A mechanical application of the rule, without appreciating the circumstances under which the evidence was omitted at the adjudication stage, undermines the very object of appellate remedy.

That being said, this judgment underscores some vital litigation takeaways:

- 1. Be Proactive at Adjudication:** Taxpayers must anticipate and submit all critical facts and documents at the initial stage itself. Adjudication is the foundational fact-finding stage, and the strength of the appeal depends largely on what is brought on record therein.
- 2. Onus Shifts in Appeal:** If any evidence is furnished for the first time during appeal, the onus squarely shifts on the appellant to not only prove its relevance and admissibility but also explain why it was not furnished earlier. Absence of such justification may invite rejection, even if the evidence is material.
- 3. Limited Scope of Appeal:** The appellate stage is meant primarily for examination of the existing record and legal grounds, not for initiating a fresh factual inquiry. Therefore, failure to furnish key documents during adjudication may critically weaken the appeal, unless exceptional and demonstrable circumstances exist.



Whether penalty under Section 129(1)(b) of the CGST Act can be imposed when the owner's name is clearly mentioned on the invoice and the owner has proactively appeared for release of goods?

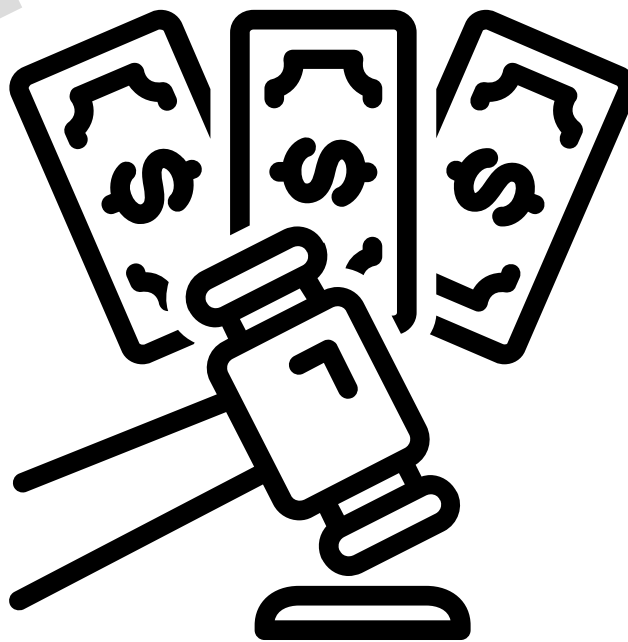
No, The Hon'ble Allahabad High Court in *S.S. Enterprises v. State of U.P. and Another* [Writ Tax No. 3026 of 2025, decided on 09.07.2025 – 2025 (7) TMI 787 – Allahabad HC] held that where the petitioner's name appears in the invoice and they themselves have approached the authorities seeking release of goods, they shall be deemed to be the owner of the goods for the purposes of applying Section 129(1) of the CGST Act, in light of Clause 6 of CBIC Circular No. 76/50/2018-GST dated 31.12.2018. In the instant case, penalty had been imposed upon the petitioner under Section 129(1)(b), which applies when the person transporting goods is not the owner. The petitioner challenged this order on the ground that their name was duly mentioned on the invoice, and they had themselves approached the department for release, indicating ownership. The High Court, relying on its earlier judgment in *M/s Halder Enterprises* [2023 (12) TMI 514 – Allahabad HC], held that as per the clarification in Clause 6 of the 2018 Circular, when the invoice is in the name of the person who also seeks release of the goods, they are to be treated as the owner and Section 129(1)(a) should apply. The Court quashed the penalty order dated 24.06.2025 and directed the authorities to afford an opportunity of hearing to the petitioner and thereafter pass a fresh, reasoned order in accordance with law, taking into account the principles laid down in *Halder Enterprises*, within a period of eight weeks from the date of the order.

Author's Comments:

This case serves as a textbook example of overreach by field officers acting beyond their statutorily assigned powers. Section 129(1)(b) applies strictly in cases where the owner of the goods does not come forward, and the penalty matrix is significantly harsher. However, when the owner's name appears clearly on the invoice and they proactively approach the authorities for release of goods, the application of Section 129(1)(a) is not only warranted but mandated by Clause 6 of CBIC Circular No. 76/50/2018-GST dated 31.12.2018.

GST is a rule-based tax regime, and it leaves very little room for discretion when statutory safeguards are in place. The principle that "a delegate cannot overstep the scope of delegated authority" is deeply rooted in administrative law. Officers under GST cannot rewrite the law or alter the legislative scheme by substituting penalty provisions at their convenience.

The concept of "moulding relief" refers to the power vested in Courts of Equity, like the Supreme Court or High Court, to go beyond the statute and create solutions to redress grievances. However, under the law, there is no authority to alter the cause of action from Section 129(1)(b) to Section 129(1)(a), especially in light of the explicit safeguard provided in Section 75(7) of the CGST Act, 2017.



Whether penalty under Section 129(3) of the UPGST Act can be imposed merely on account of a dispute regarding classification of goods, despite proper documents being available during transit?

No, The Hon'ble Allahabad High Court in *M/s Tirupati Agro Commodities v. State of U.P. & Others* [Writ Tax No. 2596 of 2025, decided on 10.07.2025 – 2025 (7) TMI 789 – Allahabad HC] held that mere classification disputes cannot attract penalty under Section 129(3) of the UPGST Act when the goods are accompanied by valid documents and there is no allegation of undervaluation or evasion. In this case, the petitioner was aggrieved by a penalty order dated 08.05.2025 passed under Section 129(3) of the UPGST Act, wherein the authority levied penalty during goods transit solely on the ground that the classification adopted by the petitioner was incorrect. Notably, the goods were accompanied by an invoice and e-way bill, and there was no dispute as to the quantity or value of the consignment. Relying on its earlier decision in *Shamhu Saran Agarwal and Co. v. Additional Commissioner Grade-2* [2024 (2) TMI 187 – Allahabad HC], the Court reiterated that penalty under Section 129 cannot be imposed based on speculative classification disputes. The correct legal course in such matters lies in proceedings under Section 73 or 74 of the UPGST Act, depending on the presence or absence of intent to evade tax. Since there was no deficiency in documentation or valuation, the imposition of penalty lacked legal basis. The Court accordingly quashed the penalty order and directed that any penalty amount deposited by the petitioner be refunded within eight weeks. The writ petition was allowed with these directions.

Author's Comments:

The intercepting officers, drawing from their experience in the previous tax regime, often tend to overstep their jurisdiction by expanding the scope of their limited powers under GST. However, it is a settled legal principle that an authority to whom power is delegated cannot exceed the scope of that authority.

When MOV-07 (Show Cause Notice) acknowledges compliance with Rule 138A but still alleges misclassification, it amounts to an extra legislative inquiry beyond the jurisdiction of the intercepting officer under Section 68 read with Section 129. The intercepting officer has no authority to go beyond Rule 138A — such matters should instead be addressed through notices under Section 73 or 74 by the concerned Proper Officer, which is a matter of legal interpretation and requires detailed adjudication—not roadside determinations.

This principle has been upheld in various judicial precedents:

- The Kerala High Court in *Hindustan Coca-Cola Pvt. Ltd. v Assistant State Tax Officer* (March 19, 2020) held that misclassification alone is not a valid ground for detention.
- The Uttar Pradesh Commercial Taxes Department (Circular No. 1819010, dated May 9, 2018) clarifies that intercepting officers should not detain consignments on undervaluation or misclassification grounds but instead report the matter to the Joint Commissioner for further action.



ABOUT THE AUTHOR

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CA Ritesh Arora is a distinguished Chartered Accountant with over 12 years of focused expertise in Indirect Taxation, with a special emphasis on GST litigation, advisory, and appellate matters. A Fellow Member of the Institute of Chartered Accountants of India (ICAI), he qualified in 2013 and has since emerged as a trusted name in the field of GST, known for his deep legal insight and strategic approach to complex tax disputes.

His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

CA Ritesh Arora is the author of the widely acclaimed publication **"GST Gavel – A Litigation Guide"**, which meticulously analyses over 500 landmark case laws with curated author's commentary, serving as a practical handbook for professionals navigating GST litigation. He is also the co-author of **"Reference Manual on Exports and Imports – Provisions under Distinct Laws"**, a comprehensive guide covering FTP 2023, the Customs Act, FEMA, and the IGST Act.

His expert articles and insights regularly feature across leading professional platforms and are published in monthly newsletters of over 30 ICAI branches across India, further amplifying his contribution to the profession.

In recognition of his leadership and commitment to professional development, he served as Vice Chairman and NICASA Chairman of the ICAI Amritsar Branch for the term 2024–25, and earlier as Treasurer during 2022–2024. During his tenure, he played a pivotal role in mentoring young professionals and driving capacity-building initiatives across the region.

Academic & Professional Credentials:

- DISA (Diploma in Information Systems Audit) – ICAI
- B.Com (Professional) – Guru Nanak Dev University
- Certified in Concurrent Audit of Banks – ICAI
- Empanelled Peer Reviewer – Peer Review Board, ICAI

Beyond his professional accomplishments, CA Ritesh Arora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit.

With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape.



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